

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Two of the companies** that signed on to the Trump-backed \$500 billion Stargate artificial-intelligence project don't have enough capital to follow through on their pledges, Elon Musk said. **A1**
- ◆ **Enthusiasm for AI** turbocharged the U.S. stock rally, helping the S&P 500, Nasdaq and Dow to gains of 0.6%, 1.3% and 0.3%, respectively. **B11**
- ◆ **South Carolina power** provider Santee Cooper tapped financial advisers to look for buyers that can restart construction on two moth-balled nuclear reactors. **B1**
- ◆ **Right-leaning activists** pressed Goldman Sachs and JPMorgan Chase to abandon or shrink their diversity, equity and inclusion efforts. **B1**
- ◆ **A group of U.S. pensions** and other institutions is pushing private-equity firms to share more information on their fees and investment returns. **B1**
- ◆ **Travelers' quarterly** profit surged and the insurer said it was confident in its 2025 growth prospects despite expected losses from the Los Angeles wildfires. **B1**
- ◆ **Prince Harry reached** a last-minute settlement with Rupert Murdoch's U.K. newspaper group, ending a years-long privacy-invasion case. **B3**
- ◆ **Johnson & Johnson** reported better-than-expected quarterly revenue and profit, but shares slipped 1.9% after the company lowered its sales guidance for 2025. **B3**
- ◆ **P&G reported** solid quarterly results, boosted by volume growth and higher prices in several key categories in North America. **B3**

World-Wide

- ◆ **Trump's pledge** to upend the federal workforce began rippling through Washington after the president moved to force government employees back to the office five days a week and weakened their job protections. **A1**
- ◆ **The new administration** is seeking to give immigration-enforcement authority to several agencies at the Justice Department, including the DEA and ATF. **A3**
- ◆ **Trump's plan to unravel** diversity, equity and inclusion efforts started taking shape with an order closing such programs in federal agencies and placing all staff working on them on paid leave. **A4**
- ◆ **Israel launched what** it called a major counterterrorism operation in the West Bank, expanding its campaign against militants. **A6**
- ◆ **Trump threatened** sanctions and tariffs on Russia if Putin doesn't reach a pact to end the war in Ukraine. **A7**
- ◆ **The administration** is preparing an order that would halt federal funding for a kind of research into viruses that makes the pathogens more dangerous or contagious. **A4**
- ◆ **A new wildfire** spread quickly in northern Los Angeles County, spurring new fears of death and destruction in the hard-hit metropolis. **A3**
- ◆ **Trump named** Sean Curran, the head of his security detail, as next director of the Secret Service. **A3**
- ◆ **Police in Chile's capital** carried out raids targeting a Venezuelan gang that officials said killed a Venezuelan opposition figure. **A6**

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Troops on the Move Amid Immigration Orders



CHARLY TRIBALLEAU/AGENCE FRANCE PRESSE/GETTY IMAGES

NEW ERA: The Pentagon said Wednesday it was sending up to 1,500 troops to the southern border, where crossings include this one at El Paso, staffed by the Texas National Guard. The deployment is part of several Trump immigration orders. **A3**

President Begins to Dismantle And Reshape Federal Workforce

President Trump's pledge to upend the federal workforce began rippling through Washington after he moved to force government employees back to the office five days a week,

*By Ken Thomas,
Rebecca Ballhaus
and Lindsay Ellis*

weakened their job protections and froze diversity efforts across the government.

Beginning at 5 p.m. Wednesday afternoon, all federal diversity, equity and inclusion staff were to be placed on paid

leave because their offices were being shut down in accordance with an executive order halting DEI programs.

Inside a number of federal offices, a sense of anxiety and confusion permeated the atmosphere as employees parsed a flurry of executive orders and memos handed down by the new administration. Federal workers' unions rushed to shield employees from the changes, with one filing a lawsuit over an executive order aimed at peeling back civil-service protections.

"It's leaving a lot of uncertainty that folks have never really had to feel," said Michael Gibbons, 43 years old, a product-support manager for the Navy, adding that the environment undermined one of the key selling points to working in the federal government—stability. "It seems like there is a level of distrust with how things are working."

Human-resources managers across the government had to call recent hires with start dates after Feb. 8 to inform them their offers had been rescinded. Managers fielded panicked inquiries from staff over

returning to the office and from transgender employees about whether gender-neutral bathrooms would be eliminated from federal offices. Employees expressed concern over whether the Department of Government Efficiency teams dispatched to agencies would have the security clearances to review sensitive information.

Members of the Cyber
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- ◆ **U.S. agencies halt diversity efforts, put staff on leave...** **A4**
- ◆ **Anti-DEI activists target Goldman, JPMorgan.....** **B1**

Musk Criticizes AI Project Backed By Trump

President's close ally raises questions on funding, spars online with OpenAI chief

President Trump stood alongside prominent tech executives at the White House on Tuesday to unveil what he called a "tremendous" and "monumental" \$500 billion artificial-intelligence infrastructure project. Hours later, Elon Musk publicly questioned whether the joint venture would ever get off the ground.

*By Brian Schwartz,
Deepa Seetharaman
and Tom Dotan*

Musk wrote on X late Tuesday night and early Wednesday morning that two of the companies behind the project don't have enough capital to follow through on their pledges.

The comments on his social-media platform offered a glimpse into the sometimes awkward dynamic between the new president and Musk, the billionaire who poured money into his presidential campaign and whom Trump has tasked with slashing spending and streamlining federal bureaucracy. And they signaled that Musk won't pare back his unfiltered online commentary now that Trump has taken office.

"They don't actually have the money," Musk wrote at 11:35 p.m. EST on Tuesday, replying to a post from OpenAI, the ChatGPT maker that announced the joint venture with global tech investor SoftBank Group
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- ◆ **Heard on the Street:** Stargate lifts Oracle..... **B12**

INSIDE



PERSONAL JOURNAL
The best and worst airlines of 2024—and how two carriers broke from the pack. **A9**



SPORTS
Just how much are the best college football programs worth? **A12**

Ukrainian Ex-POWs Survived Torture at Hands of Russians

By OKSANA GRYTSENKO

KYIV, Ukraine—Twenty-six Ukrainian prisoners of war sat naked on a cold stone floor, their legs crossed, heads bowed and hands clasped behind their backs.

The fresh arrivals at a jail in the Russian border city of Kursk were undergoing a routine and brutal procedure known as *priyomka*, or admission.

"You," a Russian guard singled out Ukrainian Marine Capt. Yulian Pylypey after spotting a large tattoo of a trident, Ukraine's national symbol, on his right leg. "Come with me."

Six Russian guards dragged Pylypey to an interrogation room, threw him to the floor and kicked him repeatedly. Then the questioning began, interspersed with beatings using rubber truncheons and wooden hammers, and shocks from stun guns, Pylypey later recalled.

After several hours of violent interrogation, the guards dragged his limp and bruised body to a cell and dropped it on the floor. Pylypey couldn't walk for several days and urinated blood.

The *priyomka* in Kursk was an early stage in an ordeal that lasted 2½ years before

Pylypey was exchanged—torments that reflect the treatment that Russian prison guards mete out systematically to tens of thousands of Ukrainian prisoners.

The Wall Street Journal spoke with several former prisoners of war, whose accounts echo reports from human-rights groups, Ukrainian officials and the United Nations, which conducted extensive interviews with former detainees.

A United Nations report last year noted 38 prisons where beatings like those Pylypey suffered, as well as sexual violence.
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Popcorn Tax: 'National Tragedy'

Three rates for one snack rile India's critics

By TRIPTI LAHIRI

A seemingly routine ruling by India's top tax officials went off like metal in a microwave.

The government laid out a three-tiered system for taxing popcorn depending on if it is packaged or sold loose, carries a brand name or is generic, and is salted or sweet. Caramel popcorn, the government said in December, would be taxed at 18%—nearly akin to a luxury product.

The people weren't pleased. An explanation from India's finance minister, chair of the tax council, didn't help.

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Argentine 'Madman' Is a MAGA Hero

In his first year as president, Javier Milei cut red tape and balanced the budget

By RYAN DUBÉ
AND SILVINA FRYDLEWSKY

BUENOS AIRES—Before Javier Milei became president, Argentina gave some government workers a guarantee that, upon death, their children got their jobs. Vegetable stands received a bonus if they sold what the government considered "normal" potatoes. And diners were strongly discouraged from putting tips on their credit cards, causing them to leave wads of inflation-hit cash for a gratuity.

Those regulations and hundreds of others are now gone. A year into his term, the self-described anarcho-capitalist who rules Argentina has taken

a chain saw to the red tape and unchecked public spending he inherited from a Peronist administration that left the economy in ruins.

Milei's accomplishments have turned him into a star among an ascendant global right—from President Trump to Italian Prime Minister Giorgia Meloni. Known here as "El Loco"—the Madman—Milei has become especially close with Elon Musk during a more than yearlong bromance as the two men laud each other's achievements and attack progressive ideals.

Argentina has so far cut more than 900 regulations, Milei said Monday after attending Trump's inauguration.
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